

RETENTION PLAYBOOK

BUSINESS RECOMMENDATIONS



01

Promotional Sunset Plan



Target Segment & Rationale: Promo Reliant - Premium Tier

The promo reliant- Premium segment is a prime test case. While they mirror the high spending patterns of champions, they exhibit absolute dependence on discount promotions to buy.

Promo Reliant - Premium

424 HI-value customers reliant on discount incentives.

Avg Annual Spend **\$2,601.17**

Avg CLV Score **8,537.48**

Promo Dependency **100.0%**

Genuinely Loyal **9.1%**

Champions Segment

551 Top-tier organic buyers spending at-full price.

Avg Annual Spend **\$2,651.00**

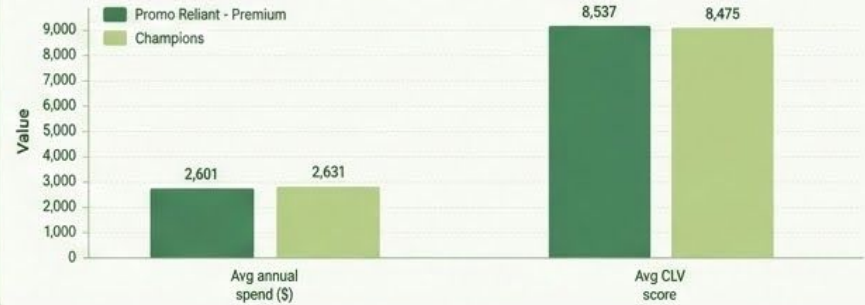
Avg CLV Score **8,474.88**

Promo Dependency **0.0%**

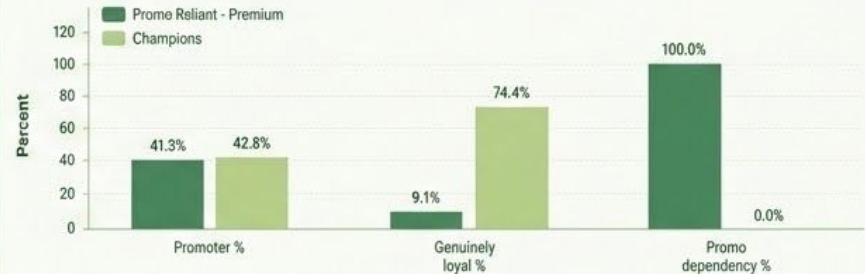
Genuinely Loyal **74.4%**

Bargain Hunters and lower-tier At-Risk Loyalists are also highly promo-dependent, but they spend much less. Removing discounts from those groups risks losing customers for limited upside. Promo Reliant - High Tier is a reasonable Phase 2 candidate, but it is smaller in value, so it is less useful as the first test.

Segment value comparison

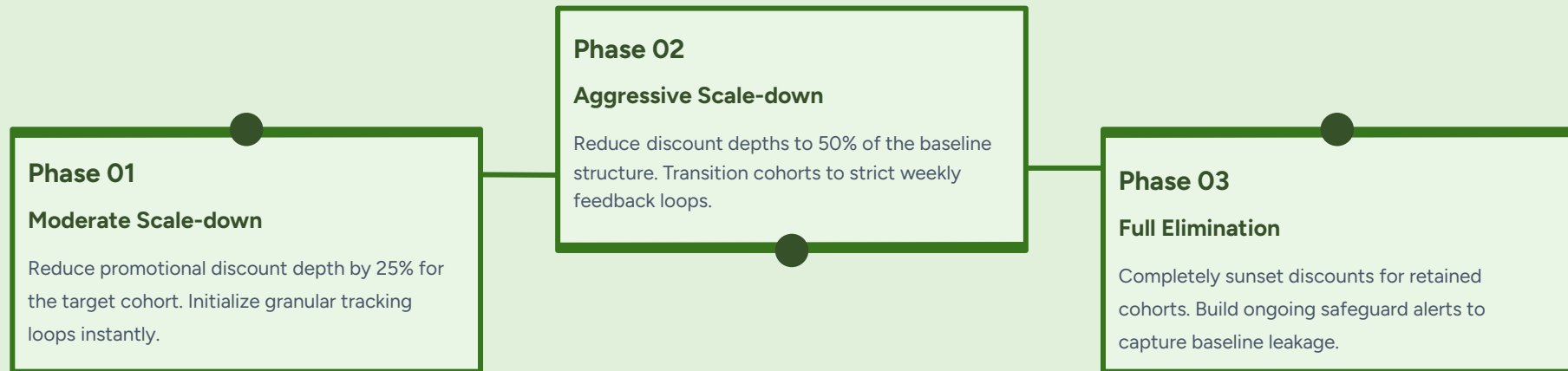


Loyalty and discount-dependence gap



Phased 9-Month Plan

Advancement depends on meeting retention and spending targets. If either falls below the threshold, the discount reverts to the previous phase.



Trade-offs & Rollout Triggers



3. Trade-offs and Risk

\$1.10M exposed spend across 424 high-value, promo-reliant premium accounts.

~12% Churn Breakeven: Churning above 12% negates margin gains. Recoveries stand to regain **\$130K – \$220K** from retained customer segments.

ESTIMATED FINANCIAL TRADE-OFF (USD, THOUSANDS)



4. Go-No-Go Metrics

Condition Trigger

Operational Decision

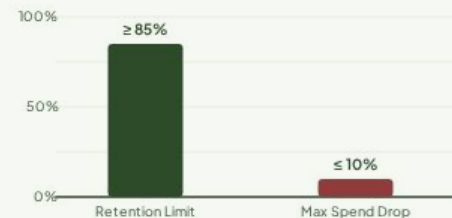
90-day retention $\geq 85\%$ & spend drop $\leq 10\%$

Continue Rollout

Retention drops below **85%** or spend drops **> 10%**

Immediate Rollback

ROLLOUT DECISION THRESHOLDS



5. Assumptions & Data Caveats

Core Cohort Parameters

- **Exposed Revenue:** Calculated precisely as 424 Premium, Promo-Reliant accounts x \$2,601.17 average spend, exposing ~**\$1.10M**.
- **Representational Bias:** Cohort parameters are generated from a base pool of **3,900 customers**, which contains **551 high-performing Champions**.
- **Metrics Sourced:** All user tenure, promoter score %, CLV benchmarks, and segment dependencies are directly derived from database query outputs.

Model Logic & Constraints

- **Discount Rate Constraint:** The true rate is absent from the dataset. A baseline range of **15% to 20%** was simulated to model margin recoveries.
- **Threshold Logic:** The **85% retention** and **10% maximum spend drop** rules are strategic proposals rather than pre-existing historical parameters.
- **Sensitivity Metrics:** Standard 10% and 15% customer attrition bounds are evaluated as **scenario tests** rather than future projections.

Dashboard Metric & Chart Directory Map			
Segment Value & Loyalty Gap	Target Segment & Rationale	CLV, annual spend, promoter, and discount dependency % across cohorts	DATASET VALUES
9-Month Promo Sunset Rollout	Phased Rollout Plan	Strategic sequence mapping of Phase 1, Phase 2, and Phase 3 schedules	STRATEGIC REC
Estimated Financial Trade-Offs	Trade-offs and Risk Analysis	Spend exposure limit models mapped against low vs. high recovery ranges	MIXED MODEL
Rollout Decision Thresholds	Metric to Track & Triggers	Rigid boundary rules mapping 90-day retention and spend drop goals	PROPOSED RULE



02

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Ideal Customer Profile & Acquisition Playbook

Shift acquisition marketing spend away from low-value, discount-dependent traffic. Re-align and focus budgets strictly on high-margin, genuinely loyal customer profiles to drive long-term profit.

Primary & Secondary ICP Specifications

1. ESTABLISHED SEASONAL SPENDER

Female, Age 46–55

TARGET SEGMENT PROFILE

Top Geographies:	PA, IL, HI, AK, TN
Preferred Category:	Clothing (Strong over Accessories)
Peak Seasonality:	Winter Focus
Payment Method:	PayPal (Digital & Secure)
Avg Annual Spend:	~\$3,484 (vs. Premium Avg \$2,618)
Average CLV:	~\$10,297 (Promoter Profile)

THE "TENNESSEE EXCEPTION"

Tennessee ranks in the top 5 for revenue with **\$1,258 Avg Spend and \$3,962 CLV**, but boasts a remarkably low Promo Dependency of just **36.4%** (vs. PA's 44.6%). This makes TN the safest and most profitable region to pilot the promotional sunset program first.

STRATEGY & TRADE-OFFS

Campaign Directive: Deploy winter-focused clothing campaigns in PA, IL, and TN emphasizing premium quality, warmth, and exclusivity. Prominently showcase PayPal at checkout.

The Trade-off & Risk: Reallocate 40% of top-of-funnel social spend away from broad 18–35 to the 46–55 group in top states. Expect a drop in traffic and higher CPA on Meta, but payback velocity will accelerate.

2. YOUNG PREMIUM ADVOCATE

Female, Age 26–35

TARGET SEGMENT PROFILE

Top Geographies	National / Digital Reach
Preferred Category:	Clothing (Consistent Recurring Spend)
Peak Seasonality:	Spring & Fall Transitional
Payment Method:	Credit Card checkouts
Avg Annual Spend:	~\$2,548
Average CLV:	~\$8,706 (Highest Promoter Concentration)

CAMPAIGN DIRECTIVES

Focus campaigns on Spring and Fall transitional clothing collections. Leverage visually-driven platforms (**Instagram and TikTok**) optimize paths for seamless mobile credit card checkouts, and emphasize fast shipping to hook this younger premium segment.

STRATEGY & TRADE-OFFS

Campaign Directive: Gate best Spring clothing lines behind early-access programs or loyalty sign-ups rather than offering generic sitewide discounts to preserve premium status.

The Trade-off & Risk: Risk losing low-margin impulse buyers ("Bargain Hunters") who convert only via homepage promo codes. Trading quick low-margin Spring spikes for full-price, high-CLV advocates.



3. The "Anti-Profile" (Who to Stop Targeting)

 **NEGATIVE TARGET PROFILE**

EXCLUSION GROUP

DEMOGRAPHICS & BEHAVIOR

Target Audience:	Men and Women, Aged 18–25
Primary Category:	Accessories (Low-Value Entry)
Seasonality Peak:	Spring / Summer Season
Payment Type:	Cash / Debit Transactions

VALUE REALITY CHECKS

While the lifetime customer value (CLV) is model-calculated at ~\$6,425, the actual annual spend struggles to cross a low baseline of \$2,300. Users in this demographic rapidly slip into the low-margin "Bargain Hunter" or promo-dependent segments.

THE STRATEGIC TRADE-OFF

- What to do:** Implement negative targeting for the 18–25 demographic on high-cost acquisition channels. Stop promoting "Accessories" as an entry-point category in paid ads.
- Actionable guardrail:** Shift top-of-funnel social media resources to high-margin, seasonal spenders instead.
- The Core Risk:** Accessories often have a strong initial conversion rate because they are cheaper. Stopping these ads will lower your overall conversion rate metrics.
- Strategic reality:** Trading vanity conversion metrics for long-term business profitability.

